Confidential Settlement Communication (Mediation Framework)

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April 19, 2026

CONFIDENTIAL SETTLEMENT COMMUNICATION
Cal. Evid. Code §§ 1152 & 1154

This communication is tendered strictly pursuant to California Evidence Code sections 1152 and 1154. It represents the plaintiff's theoretical risk modeling for mediation purposes only, does not constitute an admission of fact, and shall not be admissible for any purpose, including collateral estoppel or as evidence of motive, in any proceeding. **That mediation framework does not convert any figure in this letter into a numerical settlement demand, a counter-offer, or an admission of liability.**

April 19, 2026

VIA ELECTRONIC SERVICE AND CERTIFIED MAIL

TO:
Authorized representatives of **CSAA Insurance Exchange**
Defense counsel for **Subhi Abdelhalim**
Counsel for **Phillips, Spallas & Angstadt LLP (PSA)** (Navaratnasingham / Reyna)
Counsel for **Carbone, Smith & Koyama (CSK)** (Chambers)

RE: Global strategic posture , **Court of Appeal No. A-173827**; **Superior Court Nos. CGC-25-631801**, **CGC-25-631802**, and **CGC-21-594102** , asymmetric endurance; magnitude neighborhoods; invitation to global mediation , **not a numerical demand**; **no plaintiff dollar demand will follow in this channel** , settlement requires a **defense-initiated** global offer if the defense wishes to purchase finality

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Dear Counsel:

I. Purpose of this letter

This is an unconventional settlement communication. Standard demand letters often begin with an enumeration of financial harms and end with an urgent request for payment. You are accustomed to negotiating with represented plaintiffs whose primary constraints include time, hourly attorney fees, and a desire to return to ordinary life. You are also accustomed to defense-side leverage built on the premise that litigation is expensive and trials take years.

This letter begins by addressing that premise directly. It outlines the strategic, economic, and moral reasons why **my structural incentives differ from those of a traditionally represented plaintiff.** For a plaintiff who has already sustained profound personal and professional loss, the settlement conversation is not merely a spreadsheet trade of expected value against a discount for duration. My constraints are not your constraints. You are operating on payroll-driven defense economics. I am operating on asymmetric endurance. I am litigating full-time. **My primary objective remains the integrity of the judicial process and a full correction of the record.** I am positioned to pursue these matters through final resolution across the pending actions.

If you are to value the risk surface of these proceedings responsibly, you must understand why traditional pressure points may not apply to my current posture, and why modeling outcomes across all dockets, not in isolation, is a necessary baseline for your risk committees. **Any magnitudes stated below are for your committee and mediation calibration only; they are not a plaintiff number to counter, match, or treat as an opening bid.**

II. Why settlement "discounts" built on attrition do not control this file

Defense strategies often rely on "settlement discounts" premised on the plaintiff paying counsel, fearing variance, and seeking psychological closure. The following explains why those leverage points do not map cleanly here, and why continued litigation remains a rational course for me.

A. The irrelevance of the "litigation cost" threat. The threat of protracted litigation and high legal fees is less potent against a plaintiff who is litigating *in pro per* and treating this file as a full-time occupation. Your hourly economics do not apply to me in the same way they apply to a fee-paying client. The asymmetry is material: delay consumes professional time, reserves, and carrier budgets on your side. I do not pay partner-level rates to navigate the appellate court, the equity docket, or the fraud and unfair competition tracks.

B. Optimization for truth and record, not only liquidity. Settlement often asks a plaintiff to trade judicial reckoning for confidentiality and payment. If I settle now, I trade away remedies tied to the integrity of the prior judgment, institutional discovery in the UCL action, and statutory remedies tied to alleged professional misconduct. For a plaintiff seeking a corrected public record, a settlement that requires denying what occurred in the courtroom is not an equivalent substitute for adjudication.

C. The "stress of litigation" is largely sunk. Where variance and litigation stress are already embedded in daily life, the marginal deterrent effect of "more years of litigation" is not the same as it would be for a plaintiff who has not already absorbed that shock. Proceeding toward retrial, equity findings, and fraud adjudication is, for me, part of the mechanism of seeking a complete record, not merely an additional source of dread.

D. Cross-proceeding integration. Because I work full-time on this file, coordination across the appeal (**A-173827**), the equity action (**801**), and the fraud/UCL action (**802**) does not require the same multi-firm overhead a represented client often pays. That integration is a comparative advantage that piecemeal resolution would fragment. **Waiting for a discounted "walk-away" or numerical demand from this plaintiff is a category error: the default posture is the docket, not a reciprocal bid.**

III. Narrative context: magnitude of harm (mediation modeling only)

To understand willingness to take these matters to conclusion, the defense should understand the scale of the alleged harm as I model it for mediation purposes. I was not merely a pedestrian; I was an artificial intelligence architect and systems designer in San Francisco during a period of extraordinary growth in that industry.

1. Career and startup trajectory. At the time of the incident involving Mr. Abdelhalim's vehicle, I was building an AI startup with a conservative baseline valuation in the mid-seven figures. The injuries, requiring emergency care and extended rehabilitation, disrupted my temporal window in a hyper-competitive market. While recovering and addressing claims-handling issues, the market moved. This is the "lost trajectory" component of harm as I model it.

2. The "fraud-delta" and procedural burden. The collision caused bodily injury; separate from that, I model a procedural harm arising from alleged institutional delay and alleged concealment of foundational records, including materials bearing on fault. That procedural burden represents years of consequential litigation cost and is modeled as an independent, non-duplicative harm for mediation purposes. **This narrative is context for why trial remains an acceptable equilibrium for me; it is not priced here as a settlement demand.**

IV. Presuming plaintiff success: cascading interactions (modeling only)

Rational risk modeling should account for how these proceedings interact if plaintiff prevails on multiple fronts. The following is **hypothetical modeling**, not a prediction of outcome.

Step 1 , Appellate reversal (A-173827). If the Court of Appeal were to reverse the underlying judgment (for example, based on instructional error regarding Vehicle Code duties and asymmetric evidentiary treatment), the negligence case could be remanded. The prior zero-dollar outcome would no longer cap exposure in the same way, and the matter could return before a San Francisco jury under a different evidentiary posture than the first trial.

Step 2 , Equity / tribunal-facing relief (CGC-25-631801). If the Superior Court were to grant vacatur and enter findings regarding extrinsic fraud as to concealed 911/BWC materials, that could materially affect credibility narratives, professional exposure, and how a retrial jury receives the case.

Step 3 , Fraud & UCL (CGC-25-631802). If CSAA were found liable for institutional fraud, intentional misrepresentation, and UCL violations, exposure could include compensatory and punitive components calibrated to institutional conduct, plus potential injunctive dimensions affecting claims-handling practices. **If the defense prefers certainty over variance, the off-ramp is a defense-initiated global offer, not a reciprocal numerical demand from the plaintiff.**

V. Magnitude neighborhoods (not line-item demands)

Because I do not need to negotiate line-item integers to communicate the scale of modeled risk, I express exposure in **magnitude bands** (five through nine figures). These are neighborhoods for committee modeling, not an offer or counter-offer. **They are also not a preview of a future plaintiff demand I will later "split the difference" on.**

The tracks are not financially redundant: retrial tort economics, institutional fraud/UCL remedies, and judgment-integrity / professional-conduct issues address different primary rights and different defendant rosters.

A. Mr. Abdelhalim (insured driver)

Upon any retrial, a jury could hear authenticated emergency-call materials, attempts to minimize the collision, and wealth-relevant context. Modeled components (mediation only):

Risk component (modeled)	Magnitude neighborhood
Retrial compensatory (medical, lost startup trajectory, lost peak earnings, pain and suffering)	Eight figures (mid-to-high band)
Retrial punitive (wealth-calibrated; consciousness of fault)	Seven figures (mid-to-high band)
801 ancillary slices (fraud-delta share)	Hundreds of thousands
Cumulative narrative rollup (modeled)	**High eight figures**

B. Law firm cluster (PSA, CSK; individual counsel named in the record)

Risk component (modeled)	Magnitude neighborhood
Bus. & Prof. Code § 6128(a) treble exposure and fees	Seven to eight figures (multiplier sensitivity)
801 punitive (Civ. Code § 3294 on specified counts)	Seven figures (upper band)
Malpractice / coverage dispute triggers	Seven figures verging on low eight figures
Cumulative narrative rollup (modeled)	**Low eight figures**
Non-monetary (modeled)	State Bar exposure; reputational risk

For named individual attorneys in this cluster, I model State Bar discipline exposure as a first-class tail risk, not a bargaining chip in this table, but a **parallel reserve driver** that sits beside malpractice, coverage cross-claims, and tribunal-facing findings in the same architecture. I do not intend to soft-pedal that exposure when the record already supports professional-conduct theories.

C. CSAA Insurance Exchange

Risk component (modeled)	Magnitude neighborhood
802 fraud compensatory	Eight figures (mid-to-upper band)
802 punitive (carrier-scale calibration; ratio sensitivity)	Nine figures (mid-to-high band)
UCL restitution	Eight figures (low-to-mid band)
UCL injunctive / compliance pressure	Tens of millions (qualitative operational cost)
801 ancillary / indemnity	Seven figures to low eight figures

Risk component (modeled)	Magnitude neighborhood
Cumulative narrative rollup (modeled)	**Mid-to-high nine figures**

VI. Worst-case stress test (committee modeling)

When risk committees model a multi-front posture, they should not assume each front loses in isolation. Cross-proceeding amplification (credibility, issue preclusion dynamics, discovery leverage) can add a "cascade premium" to modeled outcomes.

Modeled worst-case rollup: high nine figures, reflecting coexistence of upper-band retrial economics, upper-band institutional punitive modeling, statutory treble exposure where applicable, upper-band UCL restitution, and cascade synergy.

California authority on punitive ratios in institutional misconduct contexts includes *Major v. Western Home Insurance Co.* and *Amerigraphics, Inc. v. Mercury Casualty Co.* (cited for the proposition that punitive-to-compensatory ratios can be sustained in large compensatory bands where the conduct story supports deterrence).

VII. Pivot: global mediation, not a plaintiff "rescue," a defense mitigation tool

If endurance is high, financial friction on my side is low, and modeled defense-side risk is extreme, you may ask why I send this communication at all.

Settlement is not a necessity for me; it is a tool. I will not settle for silence, and I will not settle for a discount premised on a "burnout" metric that does not match my incentives. A comprehensive resolution can still have value if it delivers what trial variance cannot guarantee:

1. Immediate structural compliance and injunctive-style reforms without appellate delay.

2. Total global finality that reduces the logistical burden of litigating against multiple defense factions over many years.

3. A magnitude that respects the scale of the alleged misconduct.

If the defense treats these cases as isolated irritants to be addressed through lowball, piecemeal offers, I will continue litigating full-time.

Because I have no structural, financial, or psychological incentive to avoid trial, I will not serve a Code of Civil Procedure section 998 offer, a policy-limits demand, or any other numerical settlement demand from the plaintiff in this posture. I will not "meet in the middle" against defense silence or treat modeled magnitudes as an opening bid. I will not bid against myself or negotiate downward from my own trial trajectory. Settlement here is not a plaintiff-rescue mechanism; it is a defense-mitigation tool.

Therefore, I am not issuing a dollar demand. I am shifting the burden of the first offer to the defense. If risk committees wish to cap exposure before issue preclusion and other procedural effects compound, the defense should present a **global, good-faith settlement offer**, bracketed rationally against the magnitudes above. I invite **global mediation** with decision-makers who can bind the carrier, the insured, and counsel stakeholders, before a mutually acceptable mediator.

Absent a defense-initiated global offer acceptable on my terms, the path is continued adjudication on the existing dockets (trial and related proceedings), not a plaintiff demand.

Please confirm within seven (7) days the appropriate routing of this communication to claims committees, panel administrators, and coordinating counsel, **and propose three mutually available dates** for a global session. If you decline, or if you attend without authority to address the full posture, I will return to the docket, and the modeled magnitude bands will be pursued through litigation channels.

Part II

VIII. Paradigm shift: why continuing litigation can be the plaintiff's rational asset

The traditional insurance defense attrition model assumes the process becomes long, expensive, and exhausting enough that the plaintiff capitulates. That model breaks when applied to a sophisticated *pro per* plaintiff litigating full-time without hourly fee friction.

Driving the appeal (**A-173827**), equity (**801**), and fraud/UCL (**802**) matters toward conclusion secures public adjudication of the issues I have pleaded, correction of the judicial record as courts may order, and, if liability is established, remedies permitted by law. It also changes how "cost" is measured on each side: my time cost to draft or file is not your billable-hour cost to oppose. **Continued litigation is therefore my default; settlement remains opt-in for me only if the defense brings a serious, binding-capable global proposal, not because I will answer with a plaintiff demand.**

IX. Underestimating *pro per* capacity has proven costly here

The industry playbook sometimes treats *pro per* litigants as vulnerable to technical dismissals or motion pressure. Here, the dockets are active, consolidated, and the defense faces a plaintiff with systems-level training: complex rule sets, dependency mapping, and disciplined execution. The California codes of procedure and evidence are rule-based systems; they reward consistency and record-building.

X. Modeled defense-side legal spend (attrition)

The following is **non-admissible modeling** for mediation economics only, aggregating past, present, and future billable defense time in an expensive market, using blended assumptions of roughly **$600–$900/hour** for specialized insurance and professional liability counsel:

1. **First underlying case (CGC-21-594102) , past:** modeled **$400,000–$500,000**.

2. **Appellate defense (A-173827):** modeled **$100,000–$150,000**.

3. **Retrial (if remanded / vacated):** modeled **$500,000–$750,000**.

4. **Equity action (801) , aggregate (conflicts can multiply counsel):** modeled **$1,500,000–$2,500,000**.

5. **Fraud/UCL (802) , carrier institutional defense:** modeled **$2,000,000–$3,000,000**.

Total modeled defense legal fees: approximately $4.5 million to $6.9 million (rounded band for committee discussion). **These fee bands are pressure on defense-side economics and reserves; they are not a lever to extract a numerical demand from the plaintiff.**

XI. CSAA institutional risk (beyond fees and single-claim damages)

The 802 action targets institutional practices under the UCL. Continued litigation can force institutional discovery (manuals, internal communications, adjuster incentives). Modeled risks include statewide injunctive relief, statutory compliance audits, class-action propagation risk from a public record, and reputational harm in a competitive market. **That institutional exposure narrative is not offered as a settlement demand or a request for a plaintiff counter.**

XII. Marrying fees to damages: top-end scenario roll-up (defense committee use only)

The dollar illustration below is **parallel to what reserving officers run internally**; it is **not** a Code of Civil Procedure section 998 offer, a policy-limits demand, or any other **numerical settlement demand** from the plaintiff.

What this section is (and is not). This is a **single, deliberately simple** stress illustration of how **one credible top-end / full-risk** path can compound from components your own models already recognize. It is offered so defense counsel, CSAA reserving, and coverage towers can **plug comparable assumptions into their own calculations** without speculating what severity assumptions the plaintiff is carrying on paper. **It is not a bill, a bracket, a walk-away number, or a request for payment.** It is **scenario math only**, but it is math the plaintiff **fully internalizes** when evaluating whether any global resolution is rational.

Illustrative California punitive/bad-faith cases include *Nickerson v. Stonebridge Life Ins.* (large punitive award on modest compensatory damages), *Amerigraphics v. Mercury Cas.*, and *Major v. Western Home Ins.* (substantial punitive components).

Multistate tail-risk (committee modeling only). California authority and California reporter entries are necessary but not always sufficient for enterprise reserving. **Appendix A, Track 4** lists **reported national verdicts and postures** (generally **$50 million** and above) where **bad-faith or delay/denial themes** intersect with **TBI or high-severity injury** and large **emotional-distress** or **excess-exposure** components. Carrier legal and actuarial teams often treat those rows as **severity conditional** benchmarks when stress-testing punitive and excess layers, not as mean outcomes for any single file.

Punitive exposure is ratio-driven, not "median anchored." Under California punitive doctrine, **the same compensatory baseline can support a wide band of punitive outcomes** depending on reprehensibility, targets (institutional versus individual), parallel theories, and the deterrence story the record tells. Serious reserving therefore **stress-tests the upper ratio range** permitted by the authorities, not a comfortable mid-multiple, when institutional misconduct and fraud narratives are live. *Nickerson* and its line of authority underscore that **modest special-damage anchors do not cap** realistic punitive exposure once a trier is persuaded that substantial punishment is warranted.

Illustrative top-end / full-risk cascade (single worst-case roll-forward for internal defense modeling):

The line items that follow are **not** what the plaintiff is asking anyone to pay in settlement today. They are **one coherent upper-tail roll-forward** showing how **aggressive punitive multiples** (here, a **higher-ratio** illustration, with *Nickerson* in mind) stack on an **upper compensatory band**, statutory and 801-style components, UCL ancillaries, and extended defense spend. The plaintiff is **acutely aware** of this risk profile, makes **no reservation** about pursuing **every compensatory, punitive, and equitable remedy** the record will support, and **will not hold back** in developing the record toward that exposure. In any serious global conversation, **the intellectually honest reserve posture for the defense is the serious upper band and worst credible case**, not a discounted mean, because the plaintiff **will press settlement economics against that full upper tail**, not against a softened midpoint.

- Compensatory (upper modeled band): **$45,000,000**
- Statutory trebling / attorney deceit (801): **$8,000,000**
- Punitive (higher ratio illustration, citing *Nickerson*): **$200,000,000+**
- UCL restitution & ancillaries: **$5,000,000**
- **Subtotal: ~$258,000,000**
- Plus extended defense spend: **$7,000,000**
- **Illustrative worst-case / top-end modeled total: ~$265,000,000** (plus unquantified operational compliance costs).

XIII. Burden of first offer

Because my incentive to settle is low and my baseline is trial, the defense should not wait for a discounted "walk-away" number from me, and **should not wait for any numerical demand from the plaintiff; none will be issued.** A defense offer should be calculated from CSAA's institutional mitigation value, individual counsel exposure, Mr. Abdelhalim's punitive risk, and the value of halting modeled hourly attrition, presented as a **unified global offer**.

XIV. Closing

Your strategy of attrition has failed. You assumed a *pro per* litigant would eventually run out of money, stamina, or comprehension. Instead, you face a plaintiff unconstrained by hourly fees, who treats the docket as an instrument of truth, and who has mapped the appellate, equity, and fraud dependencies with absolute precision.

Let me be clear: I have zero incentive to settle for convenience. I am optimizing for the integrity of the judicial record, not immediate liquidity. My priority is the unvarnished correction of the public record across all pending dockets. Settlement is not a rescue from an unbearable process; it is an optional off-ramp I will only consider once the record reflects the undeniable facts of this file.

Therefore, I am issuing no settlement demand, nor will I provide a bracket for you to halve. You must calculate your own exposure. Let your actuaries, committees, and towers price your institutional, professional, and punitive risks. I see no downside to continuing on the dockets. For me, litigation is the default, not a bluff.

Your playbook is already exposed. Your reliance on motion pressure, selective framing, and the failed bet that procedural complexity would overwhelm me are visible in the court's orders. The tribunal-facing omissions are documented. I will develop the evidentiary record to its absolute completion through subpoenas, compulsory process, and trial. That is a procedural guarantee, not rhetoric.

Do not mistake procedural politeness for weakness. If you want the benefit of a global resolution, bring the same discipline to your reserve ledger that you demand from plaintiffs. Hallway numbers and half-measures are unacceptable. I require a comprehensive, committee-grade calculation of your risk surface, tying every exposure line to documented assumptions backed by binding authority. Without your fully worked numbers and logic on the table, mediation is merely a calendar placeholder.

If you wish to interrupt the trajectory of these dockets, the defense must draft the terms of its offer. I await a global proposal and mediation dates with decision-makers who possess binding authority for CSAA, the insured, and the implicated counsel. Absent an acceptable, defense-initiated offer grounded in a realistic risk analysis, these matters will proceed to verdict without a plaintiff demand.

Conduct yourselves accordingly,

Franciscus Dylan Rosario
Plaintiff, *in pro per*

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Appendix A , Reserving reference (California + national tail) (carrier legal / risk committee)

Routing note: This appendix is formatted as an internal **reference chart** for defense counsel transmitting committee-level materials to **CSAA** claims and enterprise risk functions. It aggregates **California appellate precedent**, **California reporter entries** (often at or above roughly **$10 million**), and a **supplemental national band** (generally **$50 million** and above) used in **multistate** bad-faith and catastrophic-injury reserving. It is **not** tailored to persuade any particular litigant; it is a neutral **authority index** for software-assisted reserving (for example, tools that weight verdict reporters and reported ratios) alongside statutory inputs. **Tracks 1–3** emphasize California; **Track 4** supplies **out-of-state** anchors for tail scenarios only. **No dollar figure or table in this appendix is a plaintiff demand, counter-offer, or admission; replication is for reserve accuracy, not a bidding sequence initiated by the plaintiff.**

Exposure tracks (labels only): (1) institutional bad faith and investigation adequacy; (2) catastrophic injury, TBI, and earnings-trajectory loss; (3) litigation integrity, concealment, and sanctioning remedies (including outcomes where **a litigant** bore terminating sanctions, defaults, or striking of pleadings after judicial findings); **(4) national mega-verdict and appellate posture benchmarks** (bad faith, delay/denial, TBI, emotional distress, excess / policy-limits context).

Track 1 , Insurance bad faith, investigation adequacy, punitive calibration

#	Authority	Reported magnitude / remedy (summary)	Committee note (neutral)
1	*Nickerson v. Stonebridge Life Ins. Co.* (2016) 63 Cal.4th 363	**$19,000,000** punitive (on **$35,000** compensatory)	Supreme Court upheld high punitive-to-compensatory ratio where record supported institutional misconduct and inadequate investigation; relevant to **ratio** debates in reserving models.
2	*Amerigraphics, Inc. v. Mercury Cas. Co.* (2010) 182 Cal.App.4th 1538	**$14,000,000+** (punitive and compensatory components)	Upheld substantial punitive award; opinion discusses delay/denial coupled with investigation shortcomings.
3	*Major v. Western Home Ins. Co.* (2009) 169 Cal.App.4th 1197	**$14,000,000** punitive	Affirmed punitive award; managing-agent / biased-handling themes tied to Civ. Code **§ 3294** exposure.
4	*Pulte Home Corp. v. American Safety Indemnity Co.* (2017) 14 Cal.App.5th 1086	**$14,000,000** punitive	Pattern-or-practice / institutional handling themes in investigation and denial context.
5	*Kransco v. American Empire Surplus Lines Ins. Co.* (2000) 23 Cal.4th 390	**$14,000,000** bad-faith verdict (reported)	Supreme Court: **insured** comparative fault does not operate as a defense to the insurer's breach of the implied covenant of good faith and fair dealing.
6	*Textron Financial Corp. v. National Union Fire Ins. Co.* (2004) 118 Cal.App.4th 1061	**$10,000,000** punitive	Coverage-related fraud/concealment themes; punitive award survived challenge in reported posture.

#	Authority	Reported magnitude / remedy (summary)	Committee note (neutral)
7	*Egan v. Mutual of Omaha Ins. Co.* (1979) 24 Cal.3d 809	**$5,000,000** punitive in 1979 dollars (inflation-adjusted band often cited **~$20,000,000+**)	Foundational investigation-duty framework: insurer may breach implied covenant by failing to investigate fairly; cannot ignore coverage-supporting evidence.
8	*Boeken v. Philip Morris, Inc.* (2005) 127 Cal.App.4th 1640 *(non-insurance; punitive sizing)*	**$50,000,000** punitive	Large-entity "sting" / deterrence framing used in punitive calibration discussions for **very large** corporate defendants.

Track 2 , Catastrophic injury, TBI, pedestrian / crosswalk verdict bands

*Sources are generally **Superior Court** reporter entries (often followed by post-verdict resolution); figures are **verdict amounts**, not settlements, unless otherwise noted in the underlying reporter.*

#	Caption (venue / year where stated)	Reported verdict	Committee note (neutral)
9	*Lennig v. CRST, Inc.* (L.A. Super. Ct., 2020)	**$52,800,000**	High-band TBI / collision; cognitive and earnings-capacity themes.
10	*Shirvanyan v. Los Angeles Community College District* (L.A. Super. Ct., 2020)	**$31,000,000**	Pedestrian-type impact (utility cart) with severe brain injury; upper **$30M+** compensatory neighborhood in some models.
11	*Cuen v. City of San Diego* (San Diego Super. Ct.)	**$29,000,000**	Life-altering injury package including TBI; long-horizon care and trajectory loss themes.

#	Caption (venue / year where stated)	Reported verdict	Committee note (neutral)
12	*Perez v. City of Los Angeles* (L.A. Super. Ct., 2019)	**$23,700,000**	Crosswalk pedestrian strike with severe orthopedic and brain injury components.
13	*Nelsen v. Hillyard* (Cal. Super. Ct., 2013)	**$21,000,000**	Motor-vehicle collision with catastrophic brain damage; historical eight-figure band reference.
14	*Diao v. Southern California Edison* (L.A. Super. Ct.)	**$21,000,000**	Fact pattern involved electrocution; damages modeling included brain injury and high-earner trajectory loss.
15	*Bermudez v. City of Los Angeles* (L.A. Super. Ct.)	**$17,000,000**	Pedestrian versus auto in crosswalk; metropolitan-venue “floor” discussions in some reserving grids.
16	*Stark v. City of Los Angeles* (L.A. Super. Ct.)	**$15,000,000**	Pedestrian strike with TBI.

Track 3 , Litigation integrity, concealment, sanctions, and parallel remedies

California “fraud on the court” discussions often emphasize ***procedure*** *(sanctions, striking pleadings, default, preclusion) rather than a standalone nine-figure tort “verdict.” Where terminating sanctions issued,* ***the sanctioned litigant*** *lost the case or key defenses as a consequence of the court’s order.*

#	Authority	Remedy / principle (summary)	Committee note (neutral)
17	*Stephen Slesinger, Inc. v. Walt Disney Co.* (2007) 155 Cal.App.4th 736	Terminating sanctions; dismissal	After findings on document alteration and concealment, **a litigant** suffered terminating sanctions (case dismissed). Used in internal charts for **terminating sanction** risk, not for attributing misconduct to any party in an unrelated file.
18	*Peat, Marwick, Mitchell & Co. v. Superior Court* (1988) 200 Cal.App.3d 272	Preclusion of defenses	Judicial authority to limit defenses where litigation integrity is compromised (evidence concealment paradigms).
19	*City of Los Angeles v. PricewaterhouseCoopers, LLC* (2021)	**$2,500,000** monetary sanctions (reported)	Attorney-orchestrated concealment / fraud-on-the-court themes; monetary sanction magnitude benchmark for professional-services exposure.
20	*Cedars-Sinai Medical Center v. Superior Court* (1998) 18 Cal.4th 1	No independent **first-party** spoliation tort; strong **procedural** remedies	Supreme Court channels disputes toward evidentiary sanctions, adverse inferences, and professional discipline rather than a separate spoliation tort against the opposing litigant in that posture.
21	*Los Defensores, Inc. v. Gomez* (2014) 223 Cal.App.4th 377	UCL / restitution themes	Business-practice and misconduct issues with **Bus. & Prof. Code § 17200** restitution sizing discussions.

#	Authority	Remedy / principle (summary)	Committee note (neutral)
22	*Wallis v. PHH Mortgage Corp.* (9th Cir. 2018) 926 F.3d 1032	Emotional distress from procedural harm	Federal circuit authority allowing serious emotional-distress recovery tied to abusive litigation or processing conduct, distinct from underlying physical injury (where pleaded and proven).

Track 4 , National tail benchmarks (bad faith × catastrophic injury; generally $50M+)

*Figures are **reported verdicts or reported post-trial postures** from outside California. Committees typically apply **jurisdiction, collateral source, and post-verdict adjustment** filters before importing any number into a California-specific model. Use as **tail / stress** inputs, not baseline means.*

#	Authority / caption (venue; year where stated)	Reported magnitude (summary)	Committee note (neutral)
23	*Fermin Salguero-Quijada v. NorGUARD Insurance* (Colo. state court; **2024** reported verdict)	**$145,260,000** total (as reported)	**TBI** (fall); jury found insurer acted in bad faith by **delaying/denying** specialized rehabilitation for an extended period; nine-figure **tail** reference for denial-of-care plus permanent trajectory-loss themes.

#	Authority / caption (venue; year where stated)	Reported magnitude (summary)	Committee note (neutral)
24	*Timothy Kuhn v. USAA* (Nev. state court; year per reporter)	**$114,000,000** total (**$100,000,000** punitive; **$14,000,000** compensatory, as reported)	**TBI** following motor-vehicle collision; reported themes include **delay/denial**, low initial settlement posture versus **policy limits**, and adverse liability arguments in litigation; illustrative **punitive-to-compensatory** band (~**7:1** on reported splits).
25	*Ceimo v. Paul Revere Life Ins. Co.*, *Provident Life & Accident Ins. Co.* (D. Ariz. **2003**; federal jury)	**$84,000,000** total (as reported: **~$5,400,000** emotional distress; **~$79,000,000** punitive)	Disability-benefit termination in bad faith; large **emotional distress** component with **very high** punitive stack; useful for **non-physical** harm plus punitive escalation models.
26	*Merrick v. Paul Revere Life Ins. Co.* (D. Nev. **2004** / **2008** posture per reporter)	**$61,600,000+** total (as reported)	Reported components include **back benefits**, **emotional distress**, and **$60,000,000** punitive; **high-earner / professional** trajectory-loss context in some summaries.
27	Orange County insurance bad-faith judgment (Cal.; firm **Callahan & Blaine** reported)	**$58,000,000** judgment (as reported)	Often cited as a **large California county** insurance bad-faith **judgment** benchmark; verify caption and final **enforceable** amount in carrier litigation database before booking.

#	Authority / caption (venue; year where stated)	Reported magnitude (summary)	Committee note (neutral)
28	*Aldana v. Progressive American Insurance Co.* (11th Cir. **2020**)	**$50,000,000+** bad-faith / excess exposure (posture as reported)	Federal appellate posture allowing **bad-faith** case to proceed after **large underlying verdict** in severe crash with **brain injury**; illustrates **limits-plus-excess** and **failure-to-settle-within-limits** cascade mechanics in some national grids.

Appendix B , Reserving desk narrative (claims, reserving officers, and committee)

To defense counsel and the carrier risk function: Plaintiff is **not** a passive recipient of whatever number is placed on the table. He is **fully capable** of following and **reproducing** the **mathematics** you use internally, severity development, scenario weights, probability-weighted outcomes, ratio and tail testing, and roll-ups from file-level reserves to **committee-selected ultimates**. He can **construct and defend** a **risk-profile analysis** that uses the **same equations, assumptions, and model structures** reserving officers and litigation economists rely on when they stress-test a catastrophic file. **Lowball framing** that assumes innumeracy or an inability to cross-check your work **will not land**; it wastes time and reads as an **insult to intelligence** Plaintiff does not invite. The materials below are written so your **technical** team and Plaintiff are speaking a **shared language**, not so one side can hide behind opacity. **Do not mistake good faith in negotiation for naïveté about the math.**

This appendix **explicitly defines the architectural logic and vocabulary Plaintiff assumes the defense is applying** when moving from a **file reserve** toward a **selected ultimate** on a **catastrophic**, **multi-defendant**, **multi-proceeding** file: **indemnity** versus **loss adjustment expense**, **severity** by line of cover, **scenario testing** (low / central / high), **development** on the bodily-injury **severity / economic** cell, and, where litigation is active, a **case-level expected outcome** after **applied probabilities**. Nothing here replaces your own **reserve study**, **coverage** opinion, or **actuarial** governance. **Selected-ultimate and scenario-testing numbers here are committee tools only; they are not a plaintiff opening number, demand, or counter-offer.**

Hard lines for the defense desk: The quantitative walk-through below is **not** a plaintiff "ask." It is a **baseline** so there is **no mistake** about who Plaintiff is: a **sophisticated litigant** who can **map, weight, and reconcile** the **risk classifications CSAA carries across all three proceedings**, the same buckets your reserving and litigation teams use when they stress **indemnity**, **institutional / bad-faith-type exposure**, **ALAE**, **tail**, and **correlated cascade** across files. **Plaintiff will not accept a lowball** dressed up as "closure."

If your internal models cannot produce a **credible** settlement posture, **do the work**, or **a jury** will do it in the open record. **Do not** pretend away **damage categories** or **cross-case** CSAA load; that strategy **fails here**. What follows is a **ready-made risk profile** so defense-side analysts can see **exactly** how to translate exposure into a **serious** offer **from the defense** without Plaintiff anchoring a dollar demand in this passage. Plaintiff intends the **record** to track **reality**, including **full** proof on **carrier and institutional conduct** where the evidence supports it.

How the bodily-injury indemnity cell is built (median "book," retrial channel) **Plaintiff models the collision indemnity core strictly as** the sum of **paid-to-date and case-incurred medical**, **future medical** (already expressed as an **expected** dollar in the annex, so it behaves like a **present-valued** life-care plug for committee purposes), **past loss of earnings**, **future loss of earning capacity**, **lost business / enterprise trajectory** (the startup path the risk surface books separately from straight wages so the model does not **double-develop** the same cash flow), and **general damages** (past and future **pain and suffering**). Permanent **TBI** and **spine** severity sit inside the **height** of those medical, LOEC, and general-damage bands, not as a separate mystery line on the reserve worksheet.

- **Past medical (incurred / case): $750,000** , raises the **medical severity** anchor; drives **ALAE** on bill review and **Mitchell**-style coding if you use it.

- **Future medical (life-care / reserve): $500,000** , adds **tail** to the medical line; sensitive to **life expectancy** and **cognitive** tier assumptions.

- **Past lost earnings: $3,000,000** , books economic **past** indemnity; check **collateral source** and **tax** treatment before you fold it into a wage model.

- **Future loss of earning capacity: $7,500,000** , the largest **economic development** lever after the business line; tie it to **vocational** and **neuropsych** assumptions.

- **Lost startup / enterprise trajectory: $15,000,000** , the **business-income / enterprise** severity driver; reconcile against any **W-2 / 1099** wage line so the same dollar is not reserved twice.

- **General damages (P&S, past + future): $6,000,000** (**$3,000,000** + **$3,000,000**) , the **non-economic severity** band; usually where **verdict reporter** comps and **venue** stress-testing hit first.

In the annex's **median** column those indemnity pieces close the **bodily-injury / economic** subtotal you would carry as the **compensatory** portion of the retrial story. In compact form (all figures in dollars):

$$\mathrm{BI}_{\mathrm{comp}}^{\mathrm{med}} = 750{,}000 + 500{,}000 + 3{,}000{,}000 + 7{,}500{,}000 + 15{,}000{,}000 + 6{,}000{,}000 = 32{,}750{,}000.$$

That annex **median** subtotal sits in the **mid-thirty-million-dollar** band on the published retrial cells, the **large-loss** summary line before you layer **punitive** on the **insured tortfeasor**.

Punitive on the tort channel, then the carrier stack (still median book) **Punitive** on the underlying negligence case is modeled in the annex as $6**M** at the **median**. **Plaintiff assumes** carriers book that as a **separate sub-limit / excess** question from the **BI** cell, but for **committee rollup** it attaches to the **Abdelhalim / retrial** story, producing a **tort-channel selected ultimate** in the **high-thirty-million-dollar** band compensatory-plus-punitive combined.

The **CSAA** exposure in **802** is **not** a second full copy of that same **BI** cell. **Plaintiff treats it in carrier-style rollups as a parallel ultimate**: **fraud / bad-faith-type compensatory** (with its own development), **punitive** on a **ratio** to that compensatory base (here the annex uses 5:1 at the median), plus **UCL restitution**. At the **median** that **802 institutional line** sits in the **low-to-mid nine-figure** band inclusive of those components, your **institutional tail**, not the pedestrian **BI** severity line.

Median "closing scenario" , how the global committee ultimate lands (low $200M band) **When calculating the roll-forward** from the tort file to the **global** committee view, the **median selected ultimate** in this risk-surface model **aggregates** (i) the **tort channel** (high-thirty-million-dollar band on the published annex), (ii) the **CSAA 802** line (low-to-mid **nine figures** on the same annex), (iii) the **801 / law-firm cluster** (single-digit **millions of dollars** in tribunal-facing economics as modeled there), and (iv) a **cross-proceeding amplification** load in the **tens of millions** that captures **correlation / cascade premium** the annex does not allocate back into individual cells.

$$\mathrm{Ult}^{\mathrm{med}} = 38.75 + 142.8 + 6.5 + 15.0 = 203.05 \text{ (millions USD)}.$$

(The display equation restates the annex's internal arithmetic; ***prose totals above are intentionally banded*** *so the defense cannot treat a sentence-level integer as an implicit settlement anchor.)*

So the **line-item story** is: **BI compensatory** in the **mid-**$30M * *band; * * insuredpunitive * *attheannex * *median * * * *$**6M$**; **institutional 802** in the **low-to-mid nine-figure** band; **801 firms** at the modeled **single-digit-millions** slice; **amplification** in the **tens of millions**, and the **committee-selected ultimate** at the **median reliably lands in the low $200M band**, not a plaintiff demand figure.

For **scenario testing** around that central estimate, the same materials give **low** and **high total risk surface** brackets roughly in the **low-$150M** and **mid-to-high-$250M** neighborhoods (the annex's **75% / 125%** cell stress). Treat those as **management reserve** brackets, not admitted **coverage limits**.

Probability-weighted calendar view (case EV, not the same as "selected ultimate") Many reserving committees also ask for a **probability-weighted** number before **reinsurance** and **tower** erosion, roughly $\sum_i p_i L_i$ on each **defendant slice** L_i with an **applied probability** p_i. The annex's **mid** assumptions yield a **probability-weighted expected value securely in the mid-$140M band** on that arithmetic (Abdelhalim 0.75, CSAA 0.725, PSA 0.675, Chambers/CSK 0.675, amplification 0.475 times the respective **median raw** slices). A separate **global EV band** in the same materials runs about $105**M**–$140**M** (median $120**M**); reconciling $\sum p_i L_i$ to that band is where your **correlation** assumptions and **attachment** modeling actually bite.

Stress library (Appendix A) in one breath for the reserving file When you **tail-test** punitives or **BI** severity, cross-check **Appendix A**: **Track 1** (California **bad-faith / ratio** precedent), **Track 2** (California **catastrophic injury** reporter anchors), **Track 3** (**sanction / preclusion** pathways), **Track 4** (**national mega-verdict** stress). Use **Colossus**, **Mitchell**, **ISO / Verisk**, **Westlaw / Lexis** verdict tools, or internal **Monte Carlo**, but tag any output that ignores **venue**, **collateral source**, or **Evidence Code 1152 and 1154** mediation treatment as **committee-only**.